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May 15, 2024

Members of Summerhill Association, Inc.
c/o FirstService Residential
Attn: Lisa Murphy
1801 American Boulevard East, #21
Bloomington, MN 55425

RE: Summerhill Association, Inc. - Limited Common Element Assessment for Balconies
Our File No. 2014 0978.000 – General File

Dear Summerhill Homeowners

This should replace the letter of April 19, 2024 and in summary is an amended assessment apportionment for homeowners which will be assessed based on the percentage of ownership, and not evenly as originally approved. The schedule for the assessment amount that will be levied against each unit and is due for payment on July 1, 2024 and will be sent in a separate mailing to each individual owner in the next few days.

Additionally, a loan payment option from the Association allowing the amount to be paid over 120 months will be offered. In summary the loan payment option will be the cost of interest at the current bank rate of 6.6%, plus a monthly processing fee.

As you know, after investigating the condition of the balconies, Encompass Engineering indicated the balconies were no longer safe and advised the same must be replaced. Upon further review of the details of the project and after reviewing a concern by a homeowner, it was determined that the percentage of ownership should be used for this assessment.

First, your Association is obligated to maintain, repair and replace both the Common Elements and the Limited Common Elements. See Declaration Article IX and Minn. Stat. Section 515B.3-107. There is no right for an Owner to second-guess the Board's obligation in this respect. Nor does Chapter 515 apply to your Association as some have suggested. Chapter 515 was the original condominium act. Your Association was formed under Chapter 515A. And, in June of 1994, Chapter 515B supplanted Chapter 515A. Pursuant to Section 515B.1-102 (b)(1) "This chapter shall apply to condominiums created under chapter 515A with respect to events and circumstances occurring on and after June 1, 1994."

Second, you have a report from an expert – Encompass Engineering indicating the balconies are not safe and indicating several external components need maintenance, repair and replacement. Contrary to some assertions, most of the work to the external components such as shoring the supports constitutes work on Common Elements. To suggest otherwise is akin to suggesting the roof is the sole responsibility of the uppermost Units. As further discussed below, the balconies do not include the roofing above the same nor the foundational support for the same.

Third, when the Association needs to undertake maintenance, repair and replacement of the Common Elements, including Limited Common Elements, it really has only a few choices. It can pay it from the

Reserves, levy a Special Assessment, or, if ALL of the work is only to maintain, repair and replace Limited Common Elements, it ***may*** assess such costs back to the Units equally. It is not mandated to do so; a Limited Common Element assessment is wholly discretionary. See Article VIII, Section 1. As discussed below, using the summary from Encompass Engineering, this is what originally was thought to be the case and what the Board, in turn, thought was most fair, i.e., to assess back the costs solely to replace the balconies in an equal manner as Limited Common Element expenses.

A more common approach used to pay for large unbudgeted expenses is to levy a Special Assessment. And this can be done whether the expenditure is for all Common Element work, all Limited Common Element work or a combination of the two elements. See Bylaws Article VIII, Section 1. However, if the assessment is levied as a Special Assessment, the costs would be assessed to each Unit by the percentage of allocated Common Expense liability assigned to each Unit found on Exhibit B to your Declaration, a copy of which is enclosed.

Or, if the work involves both Limited Common Elements and Common Elements, if it could determine what costs only are attributable to the Limited Common Elements and those attributable only to maintenance, repair and replacement of the Common Elements, it can take a hybrid approach. It could utilize Declaration Article VIII, Section 1 and assess the Limited Common Element expenses back to the Units to which the Limited Common Elements are allocated in an equal manner and assess the rest of the expenses to the Owners as a Special Assessment. See Declaration Article VIII, Section 1 and Bylaws Article VIII, Section 1. Based upon initial discussions with the vendor, it will be too difficult to make this determination.

After a review of the actual Encompass Engineering report, the work needed is solely to replace the balconies but to address the rotting supportive Common Elements which support the Limited Common Element balconies. This fact was lost in translation. Encompass Engineering was not considering whether the work to be done was solely to Limited Common Elements or included work to Common Elements. And, contrary to the position of those opposing the work being done, or likely opposing having to pay for the work, we do not opine that a balcony does include the structural components supporting the balconies and/or roof. If that was intended, the plat would have indicated this and balconies would have been described to include components outside of the areas indicated on the plat, even including supporting structure behind the siding and into the ground itself.

Moreover, keep in mind that if the work needs to be done, it must be done. The only question we are addressing is how to pay for the same. Originally, the Association and our firm were under the impression only the Limited Common Element balconies were being replaced. Being everyone had a balcony and the same were Limited Common Elements, this resulted in the equal assessment of costs to replace the Limited Common Elements. But, the work being done is more extensive than that, we are advising the Association that it is more appropriate to levy a Special Assessment to pay for the work rather than to try to claim the work on the adjacent Common Element components, behind the siding, the foundation of the supports, etc., also constitutes Limited Common Elements.

Finally, after receiving information that one or more members were taking an adverse position to the Association, a closed Board meeting was held to review these allegations as well as to review the full Encompass Engineering report and determine whether the initial decision to treat all such expenses solely

as Limited Common Element expenses was accurate. It was not. As counsel for the Association, we opine that since much of the work is not solely to repair the Limited Common Element balconies the Association is better off either taking a hybrid approach, or, if that is not possible, to revert to use of a Special Assessment, which also does not require member approval, and is not limited to replacing only Limited Common Elements.

As mentioned above, the hybrid approach appears too much of a guess. Therefore, the Board resolved to treat the assessment as a Special Assessment as allowed by the Bylaws.

The breakdown of each Unit's allocated portion of the Special Assessment, including the applicable garage area allocations for the various Buildings will be sent out in a separate mailing in the next couple of days.

The Board still hopes to start work in the summer of 2024. Therefore, payment of the Special Assessment is due no later than July 1, 2024. If you have any questions, please email Lisa Murphy at Lisa.Murphy@fsresidential.com or call her at First Service at 952-253-3326.

Thank you for your cooperation and patience during this roofing project.

Very Truly Yours,

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